

a serious business. So how does this matter to any of us?

Let's raise our glasses...

There are quite a few ways the IPO is going to make things better at Facebook, not just for the people getting rich overnight, but for the business in general and for you as well...

To start with, all the hype around the IPO has meant that everyone, us included, is publicising it like anything. Not that Facebook needs any publicity, of course, but with minute analysis of almost everything that Facebook does from here on guaranteed, it's quite possible that time on site for people might actually go up as they try out more of the new features that are sure to crop up soon.

An IPO raises money, not just for the people who own the company, but also for the company itself. With more money, you get more features, more reliability, quicker bug fixes, and as a result, a much better all-round experience. Facebook will also hire more people now, and will probably open up new offices across the globe, giving a select few a chance at a career with the company.

Another huge advantage that comes with raising billions overnight is the purchasing power that Facebook will now have. It's not just about hiring people, it will also give Facebook the ability to buy out companies and enhance features with the products they buy. You can also bet on the fact that such buyouts will bring more minds to the boardroom, all working together on making you like the site even more.

A really good reason for us to like the IPO is the fact that public companies have more transparency by law – at least financially – and that ought to mean that we'll be more aware of how our data is being used...

...and on that note:

Why Facebook might fail

Transparency is also in a sense an evil in this case, because people start realising just how much money is being made off their data. It also brings to light some interesting findings, such as the fact that about 12 per cent of all

"I will let someone else take up the moral issues and I will stick to the business point: I don't think that Facebook, with its messianic ambitions and squirrely zeal, is actually ready for the harsh light of public company life. Even though it comes to market with the weight and hegemonic feel of the biggest brands, it has grown up in such a bubble of cultishness and doctrine, that primetime scrutiny could shortly become very uncomfortable."

Michael Wolff, Columnist, *The Guardian* - <http://bit.ly/wYJLII>

Facebook revenue in 2011 came from Zynga (the FarmVille guys), where 85 per cent came from advertising. To increase profits, it's obvious that advertising is the way to go, and you can start expecting more and more of that aspect to be given importance. For you, that translates to being urged more to click on and use games and apps and more in your face advertising.

"If Facebook's offering ends up being the advertised \$5 billion, and the company's stock market valuation is in the expected \$75 billion to \$100 billion range, it means that only 5 to 7 percent of the company's shares will be available to public investors."

Allan Sloan, Senior Editor at large, *Fortune* magazine - <http://wapo.st/yU3gf3>

As with every other public company, the emphasis will be on making more money. Now this is usually fine for a products-based company such as Apple or Microsoft, because they have avenues such as advertising to push their products

more and create more desire for said products. For service-based companies such as Google and Facebook, you're the product. It's a total numbers game, and this is what complicates matters.

With Google, the success mantra was not just to provide the best service, it was also to provide a service that pretty much no one could survive without. While

Google is nothing more than an advertising company, Search was that service that got us all hooked by the time the company went public. Another great purchase on its part was YouTube, which, as bandwidth increased, was another aspect of the web that got really popular, and is as ad friendly as the standard television.

With Facebook, the hook is other people, friends, e-socialising, a little gaming and... well that's about it. You mostly use Facebook to search for other people or interests, and you're not really looking for ads – in fact, you hate people who spam your wall or feed with anything that sounds even remotely like an ad.

Social vs Search

Imagine a scenario where you want to buy a new phone (and are thus suddenly very interested in advertisers): you might go to Google (or Bing, if you work for Microsoft) to find out where you can buy a phone, what people are saying about phones, which phones match your budget, how a particular model you're interested in fare in reviews on sites such as thinkdigit.com, etc. You may even go on Facebook and announce that you plan to buy a phone, or ask people what they think, and you'll definitely announce to your Facebook friends once you have bought said phone... heck maybe you'll even upload a few pictures of you hugging or making out with your beloved new phone... Once friends see your new phone, let's assume even one of them immediately decides that he'd like to be as happy as you're, and buy the same phone. Even if there's a Facebook ad for said phone staring at him in the, err, face, he'll still decide to Google (as a verb) the cheapest price in his area for said phone, look up user reviews and do all of the same research you did, but the chances of him clicking that Facebook ad are lower... get our drift? It's all just conditioning,

